OPERATING AGREEMENT

OF

LAMBERTON LAKE MHC LLC,
A MICHIGAN LIMITED LIABILITY COMPANY

THIS OPERATING AGREEMENT OF LAMBERTON LAKE MHC, LLC (this "Agreement") is made and entered into as of October 30, 2017, by and among those persons set forth in ***Exhibit A*** attached hereto (as may be amended from time to time) (the persons set forth in ***Exhibit A*** attached hereto being sometimes referred to herein collectively as "Members" or individually as a "Member") and BEDROCK MHC, LLC, a Delaware limited liability company, as Manager, in order to form a limited liability company (the "Company") pursuant to the laws of the state of Michigan. Capitalized terms used and not otherwise defined herein shall have the meanings set forth in ***Schedule A*** attached hereto.

IN CONSIDERATION of the mutual covenants and the promises made herein, the parties hereto agree as follows:

ARTICLE I

1. INTRODUCTORY MATTERS

1.1. FORMATION OF COMPANY. The parties have formed the Company pursuant to the laws of the state of Michigan. The name of the Company is **LAMBERTON LAKE MHC, LLC**.

1.2. PRINCIPAL OFFICE. The Company shall maintain its principal place of business at 10221 River Road, 59831 Potomac, MD 20859, or such other location as may be agreed upon from time to time by the Manager.

1.3. AGENT FOR SERVICE OF PROCESS. The name and address of the Company's agent for service of process is The Corporation Company – 40600 Ann Arbor Road East, Suite 201 Plymoth Michigan 48170-4675.

1.4. PERIOD OF DURATION. The period of duration of the Company shall be in perpetuity, unless the Company is terminated or dissolved sooner in accordance with the provisions of this Agreement.

1.5. PURPOSE; POWERS; LIMITATIONS ON POWERS AND DUTIES. Notwithstanding any contrary provision in this Agreement, the Articles of Organization, or any other governing or organizational documents of the Company hereof to the contrary, the following shall govern: The nature and principal purpose of the Company (the "Business") and of the purposes to be conducted and promoted by the Company, is to engage solely in the following activities:

1.5.1. To acquire that certain real property and related personal property known as Lamberton Lake Mobile Home Community located in Grand Rapids Michigan (the "MHP").

1.5.2. To own, hold, sell, assign, transfer, operate, manage, lease, mortgage, pledge and otherwise deal with the MHP.

1.5.3. To exercise all powers enumerated under the laws of the state of Michigan necessary or convenient to the conduct, promotion or attainment of the business or purposes otherwise set forth herein.

1.6. SEPARATENESS COVENANTS. Notwithstanding anything to the contrary in this Agreement, the Articles of Organization, or any other governing or organizational documents of the Company, in order to preserve and ensure its separate and distinct limited liability company identity, in

addition to the other provisions set forth in this Agreement, the Company shall conduct its affairs in accordance with the following provisions:

1.6.1. It will not engage, directly or indirectly, in any business other than the ownership, management and operation of the MHP and the purchase and sale and/or financing of mobile home units situated, or intended to be situated on the MHP.

1.6.2. It will not enter into any contract or agreement with any Affiliate of the Company or any constituent party of the Company except upon terms and conditions that are commercially reasonable and substantially similar to those that would be available on an arms-length basis with unrelated third parties.

1.6.3. It has not made and will not make any loans or advances to any third party, including any Affiliate of the Company.

1.6.4. It is and will remain solvent and will pay its debts and liabilities (including, as applicable, shared personnel and overhead expenses) from its assets as the same shall become due.

1.6.5. It has done or caused to be done and will do all things necessary to observe organizational formalities and preserve the Company's existence.

1.6.6. It will maintain all of its books, records, financial statements and bank accounts separate from those of its Affiliate(s) and any constituent party and the Company will file its own separate tax returns. It shall maintain its books, records, resolutions and agreements as official records.

1.6.7. It will be, and at all times will hold itself out to the public as, a legal entity separate and distinct from any other entity, including any Affiliate or any constituent party of the Company, shall correct any known misunderstanding regarding its status as a separate entity, shall conduct and operate its business in its own name, shall not identify itself or any of its Affiliates as a division or part of the other and shall maintain and utilize a separate telephone number and separate stationery, invoices and checks.

1.6.8. It will maintain adequate capital for the normal obligations reasonably foreseeable in a business of its size and character and in light of its contemplated business operations.

1.6.9. It will not commingle the funds and other assets of the Company with those of any Affiliate or constituent party, or any Affiliate of any constituent party, or any other person.

1.6.10. It has and will maintain its assets in such a manner that it will not be costly or difficult to segregate, ascertain or identify its individual asset or assets, as the case may be, from those of any Affiliate or constituent party, or any Affiliate of any constituent party, or any other person.

1.6.11. It shall pay any liabilities out of its own funds, including salaries of any employees.

1.6.12. It shall maintain a sufficient number of employees in light of its contemplated business operations.

1.6.13. It shall not guarantee or become obligated for the debts of any other entity or person.

1.6.14. It shall not acquire any obligation of the Manager or of any Affiliate of the Company.

1.6.15. It shall cause the Manager, agents and other representatives of the Company to act at all times with respect to the Company consistently and in furtherance of the foregoing and in the best interests of the Company.

1.6.16. It shall not form, acquire or hold any subsidiary (whether corporate, partnership, limited liability company or other) or own any equity interest in any other entity.

ARTICLE II

2. MEMBERS AND CAPITAL CONTRIBUTIONS

2.1. NAMES AND ADDRESSES OF MEMBERS. The names, addresses and initial Capital Contributions of the Members are set forth on ***Exhibit A*** attached hereto.

2.2. RIGHTS WITH RESPECT TO CAPITAL.

2.2.1. Capital. Except as expressly provided in this Agreement, no Member shall have the right to withdraw or receive any return of its Capital Contributions, and no Capital Contributions may be returned in the form of property other than cash.

2.2.2. No Interest on Capital Contributions. Except as expressly provided in this Agreement, no Capital Contribution of any Member shall bear any interest or otherwise entitle the contributing Member to any compensation for use of the contributed capital.

2.2.3. Establishment of Capital Accounts. A separate capital account ("Capital Account") shall be maintained for each Member in accordance with Section 2 of ***Schedule A*** attached hereto.

2.3. ADDITIONAL CONTRIBUTIONS.

2.3.1. No Mandatory Additional Contributions. No Member shall be required to make any Additional Capital Contributions to the capital of the Company.

2.3.2. Voluntary Additional Capital Contributions. In the event the Company's funds are insufficient to meet the needs of the Company, the Manager shall notify the Class A Members of the need for additional capital and the Class A Members may be permitted, but not required, to make Additional Capital Contributions to the Company, on a pro-rata basis. Each Class A Member who elects to contribute additional capital to the Company shall hereinafter be referred to as a "Contributing Member," and each Class A Member who elects not to contribute additional capital to the Company shall be referred to as a "Noncontributing Class A Member." In the event that one but not all Class A Members elect to make an Additional Capital Contribution to the Company, then a portion of the Percentage Interests of the Noncontributing Member shall be deemed to be transferred to the Contributing Member, on a pro-rata basis, in an amount equal to the product of (a) the Noncontributing Member's Percentage Interests, and (b) the ratio that the amount of the Additional Capital Contributions made by the Contributing Member bears to the total unreturned Capital Contributions and Additional Capital Contributions of both Members of the Company. The Class A Members hereby acknowledge and agree that if they elect not to contribute additional capital to the Company, then, as a Noncontributing Member, their Percentage Interest in the Company may be reduced as a result of Additional Capital Contributions made by Contributing Member.

ARTICLE III

3. DISTRIBUTIONS

3.1. DISTRIBUTIONS OF AVAILABLE CASH FLOW. Except as otherwise provided in this Agreement, Available Cash Flow from Operations and Available Cash Flow from Sale/Refinance/Other Events with respect to each Fiscal Year of the Company shall be distributed to the Members at such intervals as the Manager shall determine, as follows:

3.1.1. Available Cash Flow From Operations. All Available Cash Flow from Operations of the Property, as distinguished from Available Cash Flow from Sale/Refinance/Other Events, shall be distributed to the Members in the following order of priority:

- first, to the payment of all third party debts and liabilities of the Company then due and payable, including interest and any regularly scheduled payment of principal, excluding all debts and liabilities due to any Member; then
- second, to the Class B Members until the Class B Members have received an amount equal to the Current Dividend; then
- third, one hundred percent (100.00%) of any remaining Net Cash Flow to the Class A Member.

3.1.2. Available Cash Flow From Sale/Refinance/Other Events. All Available Cash Flow from Sale/Refinance/Other Events, as distinguished from Available Cash Flow from Operations, shall be distributed to the Members in the following order of priority:

- first, to the payment of all third-party debts and liabilities of the Company then due and payable, including interest and any regularly scheduled payment of principal, excluding all debts and liabilities due to any Member; then
- second, to the Class B Members until the Class B Members have received an amount equal to such Member's total Capital Contribution; then
- third, to the Class B Members until the Class B Members have received an amount equal to the sum of the then outstanding (if any) Current Dividend and Accrued Dividend, plus any accrued and unpaid fees; then
- fourth, one hundred percent (100.00%) of any remaining Net Capital Proceeds shall be distributed to the Class A Member.

ARTICLE IV

4. POWERS, DUTIES AND RIGHTS OF THE MANAGER

4.1. POWERS. To the extent permissible under Michigan law, the Members hereby delegate the entire management and control of the Company and its business and affairs to the Manager. The Manager's powers shall include without limitation the following, each of which shall be performed on behalf of and at the cost, expense and risk of the Company:

4.1.1. Acquisition of Property. Consummate the acquisition by the Company of the MHP and any other property consistent with the purposes of the Company.

4.1.2. Expend Money. Expend the capital and income of the Company in the furtherance of the Company business, including the payment of fees to independent contractors and the payment of overhead and administrative expenses.

4.1.3. Execute Conveyances. Execute and deliver assignments, deeds, easements and other transfers and conveyances in connection with the sale or exchange of Property, or portions thereof, real or personal, and execute and deliver agreements, contracts, receipts, releases and discharges with respect to any powers granted herein and any matters incident thereto, and carrying out the intentions and purposes hereof as the Manager reasonably deems advisable or appropriate.

4.1.4. Borrow Money. Borrow money, secured and unsecured, and deliver promissory notes, checks and other negotiable instruments, and as security therefor to encumber all or any Property and to execute and deliver pledges, trust deeds, financing statements and other security agreements encumbering real and/or personal property interests of the Company.

4.1.5. Engage Consultants. Engage, direct and supervise on behalf of the Company such attorneys, accountants, architects, contractors, consultants, agents, property managers and other persons (including, without limitation, Affiliates) as the Manager deems necessary or advisable to carry out the purposes of the Company, with such engagement to be on such terms and for such compensation as the Manager shall determine.

4.1.6. Insurance. Acquire and maintain insurance for the benefit of the Company in amounts, with deductibles, and on terms decided by the Manager, including: (i) comprehensive general liability insurance, (ii) worker's compensation insurance, and (iii) extended coverage property insurance.

4.1.7. Execute Contracts. Enter into agreements and contracts of any nature.

4.1.8. Lawsuits. File, conduct and defend legal proceedings of any from and compromise and settle any such proceedings, including any and all claims against insurance companies, including the execution of proofs of loss, the adjustment of losses, signing of receipts and the collection of money.

4.1.9. Property Taxes. Cause to be filed such actions or protests as are necessary or desirable to effectuate reductions of real estate taxes.

4.1.10. Signatures. With respect to the matters set forth in this Section 4.1, the signature of any one of the Managers of the Manager shall be sufficient to bind the Company.

4.2. LIMITATION ON DUTIES. The Manager shall not be required to manage the Company as its sole and exclusive function and may have other business interests and engage independently or with others in other business and investment activities and ventures of any nature whatsoever, including activities which may compete with the Company. No Member shall have any right, title or interest in profits, losses or cash in any of such other projects of any other Member or the Manager. The Manager shall devote itself to the business of the Company solely to the extent that it, in its sole and absolute discretion, determines is necessary to carry on the business of the Company in an efficient manner.

4.3. RESTRICTION ON POWER OF MANAGER. The Manager may not do anything in contravention of this Agreement or which would make it impossible to carry on the ordinary business of the Company.

4.4. COMPANY FUNDS. Company funds shall be deposited with such banking or savings and loan institutions or any other similarly secure and reputable financial institutions or brokerage companies as the Manager shall select, and shall be withdrawn upon the signature of the Manager as set forth in Section 4.1.10, above. Alternatively, the Manager may use all or some of the Company funds to purchase certificates of deposit, United States Treasury bills, government bonds, money market instruments; or any other financial instruments as the Manager may reasonably deem prudent.

4.5. RESERVED.

4.6. MANAGEMENT FEE. The Manager shall not be entitled to receive any ongoing compensation for performance of its duties under this Agreement, except in instances where the Manager (or its affiliate) serves additionally as the property manager of the MHP, where in such cases the property management agreement shall be upon terms and conditions that are commercially reasonable and substantially similar to those that would be available on an arms-length basis with unrelated third parties.

4.7. REIMBURSEMENT OF EXPENSES. The Manager shall be entitled to reimbursement for all out-of-pocket costs and expenses incurred by Managing Member in connection with its management of the Company, and for any costs or expenses paid by Manager on behalf

of the Company, including, without limitation, travel expenses, costs of legal and accounting services and other consultants required in connection with the operation of the Company.

4.8. INITIAL MANAGER. The Manager of the Company shall be BEDROCK MHC, LLC, until such time as the Manager resigns from such position or is removed in accordance with the provisions of this Agreement.

4.9. REMOVAL OF MANAGER. The Members may remove a Manager only for Cause (as defined below) and upon the vote of the Members holding at least seventy- five percent (75%) of the total Capital Contributions of the Members not including the Manager, and the delivery of the written opinion of independent counsel unrelated to any Member, that Cause exists. Once a Manager is removed pursuant to this Section 4.9, a Majority in Interest of the Members shall designate in writing a substitute Manager. Except as otherwise provided herein, the removed Manager shall retain its Percentage Interest and all of the rights and obligations as a Member. "Cause" under this section shall include only acts of fraud, willful misconduct or gross negligence by the Manager in connection with its management of the Company.

ARTICLE V

5. POWERS AND APPROVAL RIGHTS OF MEMBERS

5.1. NO MANAGEMENT AND CONTROL. Subject to the provisions of Section 5.2 below, Members acknowledge and agree that the management of the Company is delegated to the Manager, and, to the extent permissible under Michigan law, no other Member shall have any right or authority to act for or bind the Company, except that the Members may act for and bind the Company during the winding up period when there is no Manager and the acts of the Members are approved by a Majority in Interest of the Members.

5.2. APPROVAL. With the agreement of a Majority in Interest of the Members, Members shall have the right to approve or disapprove, the following matters affecting the Company:

5.2.1. Successor Manager. To admit a successor Manager, in the event the Manager is removed for Cause;

5.2.2. Continue Business. To admit a new Manager or continue the business of the Company, only after the Manager ceases to be a Managing Member, other than by removal, where there is no remaining or surviving Manager.

5.3. LIMITATIONS. No Member shall have the right or power to cause the termination and dissolution of the Company, except as set forth in this Agreement.

ARTICLE VI

6. ACCOUNTING

6.1. ACCOUNTING METHOD AND PERIOD. The accounting records shall be maintained on such accounting basis as the Manager shall determine to be in the best interest of the Company. The Fiscal Year of the Company for all purposes shall be a calendar year, unless the Members, with the necessary consent of the Internal Revenue Service, shall agree otherwise. Any and all tax elections and decisions of the Company, including but not limited to the rate and method of depreciation, shall be made based on the recommendations of the Manager.

6.2. BOOKS AND RECORDS. The Company shall keep at its principal place of business the following Company documents: A current list of the full name and last known business or residence address of each Member set forth in alphabetical order, together with the contribution and share in profits and losses of each Member.

6.2.1. A copy of the Articles of Organization.

6.2.2. Copies of the Company's federal, state and local income tax or information returns and reports, if any, for the six (6) most recent taxable years.

6.2.3. Copies of the Company's Operating Agreement and all amendments thereto.

6.2.4. Financial statements of the Company for the six (6) most recent Fiscal Years.

Upon the request of a Member or the holder of an Economic Interest in the Company who is not a Member, the Manager shall promptly deliver to the requesting person at the expense of the Company, a copy of the information described in subsections 6.2.1, 6.2.2, and 6.2.4, and when available, a copy of the Company's federal, state and local income tax or information returns for each year. The books of account and records and the financial statements shall be available for inspection by any Member or the holder of any Economic Interest in the Company who is not a Member or his/her authorized representative, and may be copied at the expense of the person requesting copies, during normal business hours after reasonable notice.

6.3. FINANCIAL INFORMATION. The Company shall send or deliver to each Member, as soon as practicable but not later than the time specified below, such information concerning the Company as is necessary to complete federal and state income tax or information returns for each calendar year, and a copy if the Company's federal, state and (if any) local income tax or information returns for the calendar year, no later than ninety (90) days after the end of such calendar year.

6.4. BANKING. All funds received by the Company shall be deposited promptly in the name of the Company in one or more separate bank accounts and may be withdrawn only by checks signed by the Manager and persons authorized by the Manager.

6.5. INSPECTION AND AUDIT RIGHTS. Each Member and each holder of an Economic Interest in the Company who is not a Member has the right upon reasonable request, for purposes reasonably related to the interest of that Person, to inspect and copy during normal business hours any of the Company books and records required to be maintained in accordance with Section 6.2 above. Such right may be exercised by the Person or by that Person's agent, attorney or accountant. The determination of the Manager as to any adjustments to the financial reports, books, records and returns of the Company, in the absence of fraud or gross negligence, shall be final and binding upon the Company and all of the Members.

ARTICLE VII

7. ACTIONS BY MEMBERS

No annual or special meetings of the Members are required. Any action required or permitted to be taken at a meeting of Members of the Company may be taken without a meeting if written consent setting forth the action to be taken is signed, as the case may be, by the Members sufficient to approve such action if a meeting of all Members were held. Any action required or permitted to be taken at any such meeting shall be deemed to be approved upon the written consent of a Majority in Interest or in the

event of removal of the Manager for Cause, upon the written consent of Members holding seventy-five percent (75%) of the Percentage Interests.

ARTICLE VIII

8. RESTRICTIONS ON TRANSFER OR CONVERSION OF COMPANY INTERESTS

8.1. TRANSFERS. A Member's Percentage Interest in the Company may be Transferred (as hereinafter defined) without the consent or approval of the Manager or the other Members as follows:

(a) To the Company or to any other Member;

(b) By succession or testamentary disposition upon the death of any Member which is a natural person;

(c) In the case of any Member which is a natural person, to their spouse, their siblings, their respective lineal ascendants or descendants or their respective spouses, or to a trustee of an inter vivos trust or custodian for the benefit of any of them;

(d) To the equity holders of a Member, or if the Member is a trust, to the beneficiaries of such trust; or

(e) To a corporation, partnership, limited liability company or other entity if, following the transfer and for as long as such corporation, partnership, limited liability company or other entity continues to be a Member and the Member, or Member's revocable trust, making the transfer owns more than fifty percent (50%) of voting capital of such corporation or more than fifty percent (50%) of the net profits, net losses, distributions and capital of such corporation, partnership, limited liability company or other entity.

8.1.1. Transfer With Approval of Majority of Percentage Interests. Except as otherwise provided in this Article VIII, no Member shall voluntarily or involuntarily (whether by operation of law or otherwise) sell, assign, hypothecate or in any manner transfer or assign (collectively, "Transfer") its interest in the Company, nor shall any third party be admitted to any participation herein or to any rights hereunder, without the prior written consent of a Majority in Interest of the Members, which consent shall not be unreasonably withheld. Any purported Transfer without such consent shall be void and shall only effect a Transfer of an Economic Interest, and the transferring Member shall continue to be obligated under each and every provision of this Agreement.

8.1.2. Right of First Refusal to Purchase Member's Interest.

8.1.2.1. Notice of Intended Assignment. Except as otherwise provided in this Agreement, including, without limitation, in Section 8.1 above, if a Member proposes to assign all or any portion of or interest in his Interest, or if an assignee proposes to sell or assign all or any portion of or interest in such Member's Interest in the Company, such Member shall deliver written notice (the "Sale Notice") to the Manager stating therein, (a) the portion of or interest in the Interest to be assigned (or, if an assignee, the portion of the interest in such Member's Interest in the Company to be assigned) (the "Offered Interest"), (b) the price, terms and conditions of such sale and assignment (the "Offered Terms"), and (c) the identity of the proposed assignee. The Sale Notice shall constitute an offer by the assigning Member or assignee to sell, first to the Manager pursuant to Section 8.1.2.2, second to the Company pursuant to Section 8.1.2.3, and third to each of the other Members (individually and collectively, the "Non-selling Members") pursuant to Section

8.1.2.4, all (but not less than all) of the Offered Interest at the Offered Terms. Such offer shall be and remain irrevocable for a period of ninety (90) days after the date of the Sale Notice.

8.1.2.2. Other Member's Right to Purchase. The non-selling Member shall have the first right (but not the obligation) to purchase all (but not less than all) of the Offered Interest at the Offered Terms. If the non-selling Member elects to accept the offer, it shall do so by written notice to such effect delivered to the assigning Member or assignee within sixty (60) days after the date of the Sale Notice. If the non-selling Member accepts the offer, then the assigning Member or assignee shall promptly assign to the non-selling Member or its designee the Offered Interest on the Offered Terms. The non-selling Member may, in its sole discretion, cause the offer to be accepted, and the purchase carried out by, the Company. A Member's failure to timely deliver a notice of acceptance as described above shall be deemed a rejection of the offer and, in such event, the selling Member may proceed as stated in Section 8.1.2.5.

8.1.2.3. *Intentionally omitted*.

8.1.2.4. *Intentionally omitted*.

8.1.2.5. Assignment to Proposed Assignee. If the non-selling Member rejects the offer, the selling Member or assignee may, subject to this Article VIII**,** assign the Offered Interest on the Offered Terms to the proposed assignee. If the Offered Interest is not assigned to the proposed assignee on the Offered Terms within thirty (30) days after the date of the non-selling Member's rejection of the offer, then the Member or assignee must reoffer such Interest to the non-selling Member, in accordance with this Section 8.1.2 before any other assignment of all or any part of or interest in such Member's Interest can be effected.

8.1.3. No Assignment Allowed Under Certain Circumstances. Notwithstanding anything contained in this Agreement to the contrary, no Member has the right, without the express written consent of the Manager (which may be withheld in the Manager's sole and absolute discretion), to assign his Interest, or any portion thereof or interest therein, if such assignment would (directly or indirectly) (a) terminate the Company for tax purposes, (b) violate the Securities Act or any rules or regulations thereunder, or any applicable state securities laws or any rules or regulations thereunder, (c) subject the Company to the reporting or registration requirements of the Securities Exchange Act of 1934, (d) violate any investment representation given by such Member in connection with his acquisition of his Interest, or (e) result in the treatment of the Company as an association taxable as a corporation.

8.1.4. Death, Incompetency or Bankruptcy of a Member. The death, adjudication of incompetency, bankruptcy or dissolution or other termination as a legal entity of a Member shall not dissolve the Company. If a Member dies, if a court of competent jurisdiction adjudges a Member to be incompetent to manage the Member's affairs, or if a Member dissolves or is otherwise terminated as a legal entity, the Member's executor, administrator, guardian, conservator or other legal representative may exercise all the Member's rights for the purposes of settling the Member's estate or administering the Member's property. The executor, administrator, guardian, conservator or other legal representative of a deceased, incompetent, bankrupt, dissolved or terminated Member shall nevertheless continue to be liable for all the Member's obligations as a Member.

8.1.5. Conditions of Transfer of Interest. Except as otherwise provided in this Agreement, it shall be a condition to any Transfer of any interest in the Company pursuant to this Article VIII that (a) the Manager reasonably approves such Transfer in writing, and (b) the assignee of such Interest assumes in writing each of the obligations of the assignor to the Company and that such assignor agree in writing to be bound by each of the terms and conditions of this Agreement.

8.1.6. Rights of Assignee. If a Transfer of an Interest of the Company is made by a Member but the Transfer does not satisfy the conditions set forth in this Article VIII, the assignee of such Interest shall hold only an Economic Interest in the Company, with the right of such assignee to receive, to the extent assigned, only the distributions and allocation of Profits and Losses to which the assignor would be entitled after the effective date of the assignment, with no right to participate in the management of the business and affairs of the Company or to become a Member thereof.

8.2. ADMISSION OF NEW MEMBERS. Except as otherwise provided in this Agreement, a new Member may be admitted to the Company upon (i) the written consent of a Majority in Interest of the Members and (ii) the Manager, and upon the execution by such new member of this Agreement, an amendment to this Agreement and/or other instrument whereby the new member agrees to be bound by the terms and conditions of this Agreement, as amended. Admission of a new member shall not cause dissolution of the Company. To the extent admission of a new member is authorized in this Agreement, each Member hereby appoints each Managing Member attorney-in-fact for such Member, with such power to execute and deliver, on behalf of such Member, such documents and other materials as such Manager may deem reasonably required in connection with the admission of such new Member.

8.3. CERTAIN LIMITATIONS. Notwithstanding anything to the contrary herein contained:

8.3.1. Capacity to Contract. Members shall not have the right to Transfer their respective Percentage Interests to a minor or any person who for any reason lacks the capacity to contract for himself under applicable laws.

8.3.2. Termination. No Member may make any Transfer or assignment of all or any part of his Percentage Interest in the Company if such Transfer or assignment would, when considered with all other Transfers during the same applicable twelve (12) month period, cause a termination of the Company within the meaning of Code Section 708. Any such assignment shall be void and not cause or constitute a dissolution of the Company and the purported assignee shall receive no interest in the Company, other than an Economic Interest.

8.4. ADMINISTRATIVE APPROVALS. The Company agrees to pay for and use its best efforts to obtain, all governmental and administrative approvals required in connection with the purchase and sale of any Percentage Interest under this Agreement. The Members agree to cooperate in obtaining the approvals and to execute all documents that may be required to be executed by them in connection with the approvals. The Company shall pay all costs and filing fees in connection with obtaining the approvals.

ARTICLE IX

9. TERMINATION AND DISSOLUTION

9.1. DISSOLUTION. Notwithstanding anything to the contrary in this Agreement, the Articles of Organization, or any other governing or organizational documents of the Company, the following provisions shall govern:

9.1.1. To the extent permissible under applicable federal and state tax law, the affirmative vote of a Majority In Interest of Members is sufficient to continue the existence of the Company.

9.1.2. The Company shall continue its existence (and not dissolve) for so long as a solvent Member exists.

9.1.3. The Bankruptcy of a Member shall not cause a Member to cease to be a Member of the Company and upon the occurrence of such an event, the Company shall continue without dissolution.

9.1.4. Each of the Members waives any right it might have to dissolve the Company upon the Bankruptcy of a Member, or the occurrence of an event that causes a Member to cease to be a Member of the Company.

9.1.5. To the fullest extent permitted by law, each of the Members waives any right it may have to seek a judicial decree dissolving the Company.

9.2. DISSOLUTION. The Company shall be dissolved upon the occurrence of any of the following events:

9.2.1. The written agreement of the Manager and a Majority in Interest of the Members;

9.2.2. The sale or other disposition of all of the Property; or

9.2.3. The withdrawal or removal of all Manager(s) and a new Manager is not approved and elected in writing by a Majority in Interest of the Members within ninety (90) calendar days of such date when the last Manager was removed or withdraws.

9.3. STATEMENT OF INTENT TO DISSOLVE. As soon as possible after the occurrence of any of the events specified in Section 9.2, above, the Company shall execute and file all necessary forms for dissolution as prescribed under Michigan law.

9.4. CONDUCT OF BUSINESS. Upon the filing of all necessary forms under Michigan law, the Company shall cease to carry on its business, except insofar as may be necessary for the winding up of its business, but the Company's separate existence shall continue until the dissolution shall have been completed or until a decree dissolving the Company has been entered by a court of competent jurisdiction.

9.5. DISTRIBUTION OF NET PROCEEDS. The Members shall continue to divide Available Cash Flow and Profits and Losses during the winding-up period in the same manner and the same priorities as provided for in Article III above and ***Schedule A*** attached hereto.

9.5.1. Reserve Fund. Following dissolution of the Company, any fund for Reserves established by the Manager pursuant to this Section 9.5 shall be used by the Manager only for those purposes for which such funds would or could have been used by the Manager as authorized by this Agreement had the Company not dissolved, including, without limitation, for: (i) remedying any defects or deficiencies at the MHP, (ii) paying fees' and costs, including, without limitation, attorneys' fees and costs of litigation and consultants fees and amounts that may be paid to adverse parties, incurred in any litigation by or against the Company or the Manager, and (iii) paying taxes and other governmental charges., including accounting and legal fees. The Manager shall have the right to deposit the Reserve fund in an interest-bearing account at a financial institution selected by the Manager.

9.5.2. Distribution of Reserve Fund. On the latter to occur of the satisfaction of all pending or threatened claims against the Company and/or the Manager, and the expiration of all applicable statutes of limitations for actions against the Company and/or the Manager, the unexpended balance of the Reserve fund then in the Manager's possession or control shall be

distributed to the Members named on ***Schedule A*** attached hereto (or their successors or assigns), per the provisions of this Section 9.5.

9.6. WITHDRAWAL OF MANAGER.

9.6.1. Notice. Upon ten (10) days advance written notice, a Manager may request that the other Member agree to serve as Manager. If after such ten (10) day period, the other Member does not agree, then the Manager seeking to withdraw may withdraw from the Company as a Manager. In such event, any interest of the Manager in the Company so resigning shall be retained as a Member's interest, it shall retain the rights to distributions of Available Cash Flow and allocations of Profits and Losses, as set forth in Section 3, above, and ***Schedule A*** attached hereto, respectively, and shall have the right to vote as a Member on the admission and compensation of a new Manager. At any time that there is no Manager of the Company, the Company shall be managed by the Members.

9.6.2. Discharge. The Manager shall be relieved from, and the Company, or any person or persons continuing the business of the Company if it has dissolved, shall assume and pay as they mature, all Company obligations and liabilities that exist on the date of the Manager's withdrawal from the Company and shall hold the Manager harmless from any action or claim arising or alleged to arise from those obligations and liabilities accruing after that date. The Company or the persons continuing the business of the Company shall promptly pay all creditors of the Company as of that date or notify such creditors: (i) of the withdrawal of the Manager, (ii) of the discharge of the Manager from all of the Company's obligations and liabilities, and (iii) of the assumption thereof by continuing the business of the Company. The Company, or the persons continuing the business of the Company, if the Company has dissolved, shall use its or their best efforts to procure and execute an agreement from creditors of the Company discharging the withdrawing Manager from liability to creditors as of the date of the effective date of withdrawal.

ARTICLE X

10. INDEMNIFICATION OF THE MANAGER, AGENTS AND AFFILIATES

10.1. INDEMNITY.

10.1.1. General. Provided that the Manager and its employees and agents have acted in good faith and in a manner reasonably believed by the Manager to be in the best interests of the Company, and provided that the loss was not the result of fraud, gross negligence or willful misconduct by the Manager or their employees or agents, the Manager and its employees and agents shall not be liable to the Members nor to the Company for any losses incurred and the Company and each Member and their respective receivers and trustees hereby indemnify and agree to hold harmless the Manager and its agents and employees from and against all costs, fines, penalties, damages and expenses, including attorneys' fees and costs of litigation and investigation and any expenses of establishing a right to indemnification, in connection with any threatened, pending or completed action or proceeding, whether civil, criminal, administrative or investigative, which arise from or are connected with the Manager's or its employees' or agents' action on behalf of the Company.

10.1.2. No Liability. The Manager shall not be liable to the Company or to any Member for any act or omission performed or omitted pursuant to the authority granted to it hereunder or by law, or for a loss resulting from any mistake or error in judgment on its part or from the negligence, dishonesty, fraud or bad faith of any employee, broker or other agent of the Company, provided that such act or omission, such mistake or error in judgment or the selection of such employee, broker or other

agent, as the case may be, did not result from the willful misconduct, gross negligence or fraud of the Manager. The Company and each Member and their respective receives and trustees shall indemnify and hold harmless the Manager from any loss, damage, liability or expense in court or sustained by it by reason of any act performed by, or any omission of it for or on behalf of the Company and in furtherance of the Company's interest, but this indemnity shall not be applicable to loss, damage, liability or expense resulting from the willful misconduct, gross negligence or fraud of the Manager.

10.2. EXPENSES. Expenses incurred by the Manager in defending any claim, demand, action, suit or proceeding subject to Section 10.1 shall, from time to time, be advanced by the Company prior to the final disposition of such claim, demand, action, suit or proceeding upon receipt by the Company of an undertaking by or on behalf of the Manager to repay such amount if it shall be determined that such Person is not entitled to be indemnified as authorized in Section 10.1.

10.3. INDEMNIFICATION RIGHTS NON-EXCLUSIVE. The Indemnification provided by Section 10.1 shall be in addition to any other rights to which the Manager may be entitled under any agreement, vote of the Members, as a matter of law or equity or otherwise, and shall continue as to the Manager who have ceased to serve in such capacity and shall inure to the benefit of the heirs, successors, assigns and administrators of the Manager.

10.4. LIMITATION OF INDEMNITY OBLIGATIONS. Notwithstanding any of the provisions contained in Section 10.1 above, each Member's pro-rata monetary obligation to indemnify the Manager and its employees and agents shall not exceed an amount equal to the particular Member's original Capital Contribution. Accordingly, once a Member has contributed all of his original capital contribution, the Member shall have no further obligation to contribute any amounts for any indemnity obligation hereunder, even if a Member's capital is returned in part or in total pursuant to a capital event.

10.5. LIABILITY AND ERRORS AND OMISSIONS INSURANCE. The Managing Member shall have the right to cause the Company to purchase and maintain public liability insurance in commercially reasonable coverage amounts, at the Company's expense, on behalf of the Members, the Manager and such other Persons as the Members shall determine, against any liability that may be asserted against, or any expense that may be incurred by, such Person in connection with the activities of the Company and/or the Members' acts or omissions as the Members of the Company regardless of whether the Company would have the power to indemnify such Person against such liability under the provisions of this Agreement. However, the Manager shall not have the right to obtain at the Company's expense "errors and omissions" insurance, insuring the Manager against any claims by any Member resulting from the Manager's actions or inaction, without approval by a Majority in Interest of the Members.

ARTICLE XI

11. REPRESENTATIONS

11.1. REPRESENTATIONS OF THE MEMBERS. Each Member, by executing this Agreement, represents that it understands, acknowledges and agrees the following: THE COMPANY INTERESTS REPRESENTED BY THIS AGREEMENT HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED ("SECURITIES ACT") AND APPLICABLE STATE SECURITIES LAWS AND MAY BE TREATED AS RESTRICTED SECURITIES. THE MEMBER'S INTEREST IN THE COMPANY HAS BEEN ACQUIRED FOR THE MEMBER'S OWN ACCOUNT AND NOT WITH A VIEW TO OR FOR SALE IN ANY DISTRIBUTION THEREOF. RESTRICTED SECURITIES MUST BE HELD INDEFINITELY UNLESS THEY ARE

SUBSEQUENTLY REGISTERED UNDER THE SECURITIES ACT AND APPLICABLE STATE SECURITIES LAWS AND/OR AN EXEMPTION FROM SUCH REGISTRATION(S) IS (ARE) AVAILABLE.

ARTICLE XII

12. MISCELLANEOUS PROVISIONS

12.1. COUNTERPARTS; ATTORNEY-IN-FACT; SCANNED SIGNATURE. This Agreement may be executed in several counterparts, and all counterparts so executed shall constitute one Agreement, binding on all of the parties hereto, notwithstanding that all of the parties are not signatories to the original or the same counterpart. This Agreement may be signed by a Member or on behalf of any Member by any person as attorney-in-fact for the Member. This Agreement may be executed by scanned signature, and each such scanned signature shall be considered an original signature for all purposes hereof.

12.2. SURVIVAL OF RIGHTS. This Agreement shall be binding upon, and, as to permitted or accepted successors, transferees and assigns, inure to the benefit of the Members and the Company and their respective heirs, legatees, legal representatives, successors, transferees and assigns, in all cases whether by the laws of descent and distribution, merger, reverse merger, consolidation, sale of assets, other sale, operation of law or otherwise.

12.3. SEVERABILITY. In the event any Section, or any sentence within any Section, is declared by a court of competent jurisdiction to be void or unenforceable, such sentence or Section shall be deemed severed from the remainder of this Agreement and the balance of this Agreement shall remain in full force and effect.

12.4. NOTIFICATION OR NOTICES. Any notice or other communication required or permitted hereunder shall be in writing and shall be deemed to have been given if personally delivered, transmitted by electronic mail, or deposited in the United States mail, registered or certified, postage prepaid, addressed to the parties' addresses set forth below. Notices given in the manner provided for in this Section 12.4 shall be deemed effective on the third day following deposit in the mail or on the day of transmission or delivery if given by electronic mail or by hand. Notices must be addressed to the parties hereto at the addresses following their names on ***Exhibit A***, attached hereto, unless the same shall have been changed by notice in accordance herewith.

12.5. CONSTRUCTION. The language in all parts of this Agreement shall be in all cases construed simply according to its fair meaning and not strictly for or against any of the Members.

12.6. SECTION HEADINGS. The captions of the Articles or Sections in this Agreement are for convenience only and in no way define, limit, extend or describe the scope or intent of any of the provisions hereof, shall not be deemed part of this Agreement and shall not be used in construing or interpreting this Agreement.

12.7. GOVERNING LAW. This Agreement shall be construed according to the laws of the State of Michigan.

12.8. ADDITIONAL DOCUMENTS. Each Member, upon the request of another Member or the Manager, agrees to perform all further acts and execute, acknowledge and deliver all documents which may be reasonably necessary, appropriate or desirable to carry out the provisions of this Agreement, including but not limited to acknowledging before a notary public any signature heretofore or thereafter made by a Member.

12.9. PRONOUNS AND PLURALS. Whenever the context may require, any pronoun used in this Agreement shall include the corresponding masculine, feminine and neuter forms, and the singular from of nouns, pronouns and verbs shall include the plural and vice versa.

12.10. TIME OF THE ESSENCE. Except as otherwise provided herein, time is of the essence in connection with each and every provision of this Agreement.

12.11. FURTHER ACTIONS. Each of the Members agrees to execute, acknowledge and deliver such additional documents, and take such further actions, as may reasonably be required from time to time to carry out each of the provisions, and the intent, of this Agreement, and every agreement or document relating hereto, or entered into in connection herewith.

12.12. ENTIRE AGREEMENT. This Agreement and the Articles of Organization constitute the entire agreement of the Members with respect to, and supersedes all prior written and oral agreements, understandings and negotiations with respect to, the subject matter hereof.

12.13. WAIVER. No failure by any party to insist upon the strict performance of any covenant, duty, agreement or condition of this Agreement or to exercise any right or remedy consequent upon a breach thereof shall constitute a waiver of any such breach or any other covenant, duty, agreement or condition.

12.14. ATTORNEYS' FEES. In the event of any litigation, arbitration or other dispute arising as a result of or by reason of this Agreement, the prevailing party in any such litigation, arbitration or other dispute shall be entitled to, in addition to any other damages assessed, its reasonable attorneys' fees, and all other costs and expenses incurred in connection with settling or resolving such dispute. The attorneys' fees which the prevailing party is entitled to recover shall include fees for prosecuting or defending any appeal and shall be awarded for any supplemental proceedings until the final judgment is satisfied in full. In addition to the foregoing award of attorneys' fees to the prevailing party, the prevailing party in any lawsuit or arbitration procedure on this Agreement shall be entitled to its reasonable attorneys' fees incurred in any post judgment proceedings to collect or enforce the judgment. For purposes of this Agreement, the "prevailing party" as used herein shall be the party obtaining substantially the relief sought, whether by compromise, settlement or judgment. This attorneys' fees provision is separate and several and shall survive the merger of this Agreement into any judgment.

12.15. AMENDMENTS.

12.15.1. This Agreement may be altered, amended or repealed and a new operating agreement may be adopted by agreement of the Members owning at least seventy-five percent (75%) of the Percentage Interests of the Members.

12.15.2. Further notwithstanding the foregoing or anything else to the contrary contained herein, each Member hereby agrees that, from time to time, the Manager may seek the consent of the Members to a proposed action and that, upon the execution by the required percentage of Members of an amendment to this Agreement and/or some other instrument evidencing the consent of the required percentage of Members to such proposed action, each Member hereby appoints the Manager attorney-in-fact for such Member, with such power to execute and deliver, on behalf of such Member, such documents and other materials as the Manager may deem reasonably required in connection with such proposed action.

12.16. WAIVER OF PARTITION. No Member shall have the right to partition any property of the Company nor shall a Member make application to any court or authority having jurisdiction in the matter or commence or prosecute any action or proceeding for partition and the sale thereof, and upon any

breach of the provisions of this Section 12.16 by any Member, the other Members (in addition to all rights and remedies at law and in equity they may have) shall be entitled to a decree or order restraining and enjoining such application, action or proceeding.

SIGNATURE PAGE FOLLOWS

IN WITNESS WHEREOF, the parties hereto have hereunto executed this Limited Liability Operating Agreement for LAMBERTON LAKE MHC LLC, a Michigan limited liability company, as of the date first above written.

MANAGER:

By: BEDROCK MHC, LLC
a Delaware limited liability company
its Manager

By: _____
Austin Berk, Manager

EXHIBIT A
LAMBERTON LAKE MHC LLC

MEMBERS

INVESTOR NAME AND ADDRESS	CLASS A PERCENTAGE INTEREST	CLASS B PERCENTAGE INTEREST
BEDROCK <> EM HOLDINGS, LLC	100%	0%
EQUITYMULTIPLE 40, LLC	0%	100%

SCHEDULE A

DEFINITIONS, CAPITAL ACCOUNTS AND TAX PROVISIONS

This ***Schedule A*** is incorporated into and made a part of the Operating Agreement of Lamberton Lake MHC LLC to which it is attached. Capitalized terms used herein which are not otherwise defined in this ***Schedule A*** shall be defined as in the Agreement.

1. DEFINITIONS.

1.1. **ACCRUED DIVIDEND** means the dollar amount required to increase the Class B Members' non-compounding rate of return on their Capital Contributions to fourteen percent (14%) per annum from the Effective Date to the date of full redemption of such Class B Interest.

1.2. **ADDITIONAL CAPITAL CONTRIBUTION.** "Additional Capital Contribution" means the amount of money, if any, in addition to the original Capital Contribution, required by the Manager to be contributed to the Company by the Members, as set forth in Section 2.3 of the Agreement.

1.3. **ADJUSTED CAPITAL ACCOUNT DEFICIT.** "Adjusted Capital Account Deficit" means, with respect to any Member, the deficit balance, if any, in such Member's Capital Account as of the end of the relevant Fiscal year, after giving effect to the following adjustments:

1.3.1. Credit to such Capital Account any amounts which such Member is obligated to restore pursuant to any provision of this Agreement or is deemed to be obligated to restore pursuant to the penultimate sentences of Treasury Regulations Sections 1.704-2(g)(1) and 1.704-2(1)(5); and

1.3.2. Debit to such Capital Account the items described in Sections 1.704-1 (b)(2)(ii)(d)(4), 1.704-1 (b)(2)(ii)(d)(5), and 1.704.1 (b)(2)(ii)(d)(6) of the Treasury Regulations.

The foregoing definition of Adjusted Capital Account Deficit is intended to comply with the provisions of Section 1.704-1 (b)(2)(ii)(d) of the Treasury Regulations and shall be interpreted consistently therewith.

1.4. **AFFILIATE.** "Affiliate" means any person controlling or controlled by or under common control with the Company including, without limitation, (i) any person who has a familial relationship, by blood, marriage or otherwise with any partner or employee of the Company, or any Affiliate thereof, and (ii) any person which receives compensation for administrative, legal or accounting services from this limited liability company, or any Affiliate. For purposes of this definition, "control" when used with respect to any specified person, means the power to direct the management and policies of such person, directly or indirectly, whether through the ownership of voting securities, by contract or otherwise; and the terms "controlling" and "controlled" have meanings correlative to the foregoing.

1.5. **AVAILABLE CASH FLOW FROM OPERATIONS.** "Available Cash Flow from Operations" means, with respect to any Fiscal Year or other period, the proceeds realized by the Company from all sources (other than Net Financing Proceeds or Net Sale Proceeds), less the sum of (a) operating expenses, (b) interest and principal payments on all indebtedness of the Company, and (c) reasonable reserves for contingencies, improvements, replacements, working capital and other anticipated obligations as reasonably determined by the Manager.

1.6. **AVAILABLE CASH FLOW FROM SALE/REFINANCE/OTHER EVENTS.** "Available Cash Flow From Sale/Refinance/Other Events" means, with respect to any Fiscal Year or

other period, the sum of all proceeds realized by the Company from Net Financing Proceeds or Net Sale Proceeds as hereinafter described.

1.7. **BANKRUPTCY** means:

1.7.1. Entry of Order. An order for relief against a Member has been entered under Chapter 7 of the federal bankruptcy law, or the Member has: (i) made an assignment for the benefit of creditors, (ii) filed a voluntary petition under the federal bankruptcy law, (iii) filed a petition or answer seeking any reorganization, arrangement, composition, readjustment, liquidation, or similar relief under any statute, law or regulation, (iv) filed an answer or other pleading, admitting or failing to contest the material allegations of a petition filed against that party in any proceeding of this nature, or (v) sought, consented to, or acquiesced in the appointment of a trustee, receiver, or liquidation of a Member or of all or any substantial part of that Member's property; or

1.7.2. Failure to Dismiss. A proceeding has not been dismissed ninety (90) days after commencement against a Member seeking reorganization, arrangement, composition, readjustment, liquidation or similar relief under any statute, law or regulation; or, without the Member's consent or acquiescence, a trustee, receiver or liquidator is appointed of the Member or of all or any substantial part of that Member's properties, and the appointment is not vacated or stayed within ninety (90) days after appointment, or within ninety (90) days after the expiration of any such stay the appointment is not vacated.

1.8. **CAPITAL ACCOUNT.** "Capital Account" means the Capital Account in the Company maintained for each Member in accordance with Section 2 below.

1.9. **CAPITAL CONTRIBUTIONS.** "Capital Contributions" means, with respect to any Member, the amount of money and the initial Gross Asset Value of any property (other than money) contributed to the Company with respect to the Percentage Interest held by such Member pursuant to the terms of this Agreement, including the Capital Contribution made by a predecessor holder(s) of the Percentage Interest of such Member, unless the context requires otherwise, but excluding Additional Capital Contributions not yet actually paid in cash by a Member to the Company. Money contributed to the Company by a Member includes the amount of any Company liabilities that are assumed by such Member pursuant to Treasury Regulations Section 1.7041(b)(2)(iv)(c). The principal amount of a promissory note which is not readily traded on an established securities market and which is contributed to the Company by the by the maker of the note (or by a Person related to the maker of the note within the meaning of Treasury Regulations Section 1.704-1 (b)(2)(ii)(c)) shall not be included in the Capital Contribution of any Member until the Company makes a taxable disposition of the note or until (and to the extent) principal payments are made on the note, all in accordance with Treasury Regulations Section 1.7041(b)(2)(iv)(d)(2).

1.10. **CLASS A MEMBER** means the owner of a Class A Membership Unit, and any assignee or transferee of such Person permitted under the terms of this Agreement, and any other Person admitted to the Company as a Class A Member pursuant to the terms hereof. The name of the Class A Member, and the Percentage Interest allocated to the Class A Member, shall be reflected in the books and records of the Company.

1.11. **CLASS A MEMBERSHIP UNIT** means Membership Units issued to Class A Members.

1.12. **CLASS B MEMBER** means the owner of a Class B Membership Unit, and any assignee or transferee of such Person permitted under the terms of this Agreement, and any other Person admitted to the Company as a Class B Member pursuant to the terms hereof. The name of the Class B Member, and the Percentage Interest allocated to the Class B Member, shall be reflected in the books and records of the Company.

1.13. **CLASS B MEMBERSHIP UNIT** means Membership Units issued to Class B Members.

1.14. **RESERVED.**

1.15. **RESERVED.**

1.16. **CODE.** "Code" means the Internal Revenue Code of 1986, as amended (or any corresponding provision or provisions of any succeeding law).

1.17. **COMPANY.** The "Company" means LAMBERTON LAKE MHC LLC.

1.18. **CURRENT DIVIDEND** means a dividend payable to the Class B Members quarterly and calculated at the rate of eleven percent (11.00%) per annum on a current basis, on all Capital Contributions made to the Company by the Class B Members, with such Current Dividend commencing to accrue on the date of each Capital Contribution is made to the Company by the Class B Members in question and continuing until such Class B Membership Interests are redeemed in full.

1.19. **DEPRECIATION.** "Depreciation" means, for each Fiscal Year, an amount equal to the depreciation, amortization or other cost recovery deduction allowable with to an asset for such Fiscal Year, except that if the Gross Asset Value of an asset differs from its adjusted basis for federal income tax purposes at the beginning of such Fiscal Year, Depreciation shall be an amount which bears the same ratio to such beginning Gross Asset Value as the federal income tax depreciation, amortization, or other cost recovery deduction for such Fiscal Year bears to such beginning adjusted tax basis; provided,

however, that if the adjusted basis for federal income tax purposes of an asset at the beginning of such Fiscal Year is zero, Depreciation shall be determined with reference to such beginning Gross Asset Value using any reasonable method selected by the Manager.

1.20. **ECONOMIC INTEREST.** "Economic Interest" means a person's right to share in the Profits, Losses or similar items, of and to receive distributions from, the Company, but does not include any other rights of a Member including, without limitation, the right to vote or to participate in the management of the Company or any right to information concerning he business and affairs of the Company.

1.21. **FISCAL YEAR.** "Fiscal Year" means the period of January 1 to and including December 31.

1.22. **GROSS ASSET VALUE** means, with respect to any asset, the asset's adjusted basis for federal income tax purposes, except as follows:

1.22.1. The initial Gross Asset Value of any asset contributed by a Member to the Company shall be the gross fair market value of such assets, as determine by the contributing Member and the Manager, provided that, if the Manager are the contributing Members, the determination of the fair market value of the contributed asset shall require the consent of the owners of a majority of the Percentage Interests of the other Members;

1.22.2. The Gross Asset Values of all Company assets shall be adjusted to equal their respective gross fair market values, as determined by the Manager, as of the following times:
(a) the acquisition of an additional interest in the Company by any new or existing Member in exchange for more than a de minimus Capital Contribution; (b) the distribution by the Company to a Member of more than a de minimus amount of Property as consideration for an interest in the Company; and (c) the liquidation of the Company within the meaning of the Treasury Regulations section 1.704-1 (b)(2)(ii)(g); provided , however, that the adjustments pursuant to clauses (a) and (b) above shall be made only if the Manager reasonably determine that such adjustments are necessary or appropriate to reflect the relative economic interests of the Members in the Company;

1.22.3. The Gross Asset Value of any Company asset distributed to any Member shall be adjusted to equal the gross fair market value of such asset on the date of distribution as determined by the distributes and the Manager, provided that if the distributes is a Manager, the determination of the fair market value of the distributed asset shall require the consent of the owners of a majority of the Percentage Interests of the other Members; and

1.22.4. The Gross Asset Values of any Company asset shall be increased (or decreased) to reflect any adjustments to the adjusted basis of such assets pursuant to Code Section 734(b) or Code Section 743(b), but only to the extent that such adjustments are taken into account in determinants Capital Accounts pursuant to Treasury Regulations Section 1.704-1 (b)(2)(iv)(m) and Sections 2.1 and 2.9.7 below; provided, however, that Gross Asset Values shall not be adjusted pursuant to this Section 1.16.4 to the extent the Manager determine that an adjustment pursuant to Section 1.16.2 hereof is necessary or appropriate in connection with a transaction that would otherwise result in an adjustment pursuant to this Section 1.16.4.

If the Gross Asset Value of an asset has been detained or adjusted pursuant to Section 1.16.1, Section 1.16.2, or Section 1.16.4 hereof, such Gross Asset Value shall thereafter be adjusted by the Depreciation taken into account with respect to such asset for purposes of computing Profits and Losses.

1.23. **INTEREST.** "Interest" means an ownership interest in the Company, which includes the Economic Interest, the right to vote or participate, in the management of the Company, and the right to information concerning the business and affairs of the Company, as provided in this agreement and under the Statute.

1.24. **LOANS.** "Loans" shall refer to any loans or advances made by any Member to the Company under any of the circumstances set forth in this Agreement. The interest rate ("Interest") payable under any such loans shall be the interest rate agreed-on between the Manager and the Member; provided, however, in no event shall the interest exceed the maximum lawful rate of interest which can be charged by a non-exempt lender in a business related transaction.

1.25. **MAJORITY IN INTEREST OF THE MEMBERS.** "Majority in Interest of the Members" means the agreement of Members who own, at the date of a vote, more than fifty percent (50%) of the Percentage Interests owned by the Members.

1.26. **MANAGER.** "Manager" means the person(s) and/or entities selected to manage the Company pursuant to Section 4.1 of the Agreement, who initially shall be BEDROCK MHC, LLC, a Delaware limited liability company.

1.27. **MEMBER.** "Member" means a person who has been admitted to the Company as a Member in accordance with this Agreement, or an assignee of an Interest, other than Economic Interest, who has become a Member pursuant to Section 8 of the Agreement, and has not resigned, withdrawn or been expelled as a Member or, if other than an individual, been dissolved.

1.28. **MEMBER NONRECOURSE DEBT.** "Member Nonrecourse debt" shall have the same meaning as "Partner nonrecourse debt" set forth in Regulations Section 1.704-2(b)(4).

1.29. **MEMBER NONRECOURSE DEBT MINIMUM GAIN.** "Member Nonrecourse Debt Minimum Gain" means an amount, with respect to each Member Nonrecourse Debt, equal to the Company Minimum Gain that would result if such Member Nonrecourse Debt were treated as a nonrecourse liability of the Company, determined in accordance with Regulations Sections 1.704-2(1)(2) and (3).

1.30. **MEMBER NONRECOURSE DEDUCTIONS.** "Member Nonrecourse Deductions" shall have the same meaning as "partner nonrecourse deductions" set forth in Regulations Section 1.704-(2)(1)(2). The amount of the Member Nonrecourse Deductions with respect to a Member Nonrecourse Debt for a Fiscal Year of the Company equals the excess (if any) of the net increase (if any) in the amount of Member Nonrecourse Debt minimum Gain attributable to such Member Nonrecourse Debt during the Fiscal Year over the aggregate amount of any distributions during that Fiscal Year to the Member that bears (or is deemed to bear) the economic loss for such Member Nonrecourse Debt to the extent such distributions from the proceeds of such Member Nonrecourse Debt and are allocable to an increase in Member Nonrecourse Debt Minimum Gain attributable to such Member Nonrecourse Debt, determined in accordance with Regulations Section 1.704-2(1)(2).

1.31. **MINIMUM GAIN.** "Minimum Gain" means the amount determined by computing with respect to each nonrecourse liability of the Company, the amount of gain (of whatever character), if any, that would be realized by the Company if it disposed (in a taxable transaction) of the Property subject to such liability in full satisfaction thereof, and by then aggregating the amounts so computed as set forth in regulations Section 1.7042(d).

1.32. **NET FINANCING PROCEEDS.** "Net Financing Proceeds" means the proceeds realized by the Company from any loans or other debt financing or refinancing, net of expenses incident

to such financing or refinancing, satisfaction or any indebtedness being refinanced and any right of any creditor of the Company to receive such proceeds.

1.33. **NET SALE PROCEEDS.** "Net Sale Proceeds" means the proceeds realized by the Company upon the sale of all or any portion of the Property net of expenses incident to such sale, payment of any indebtedness of the Company secured by or related to the Property or portion thereof sold in satisfaction of any right of any creditor of the Company to receive such proceeds. Net Sale Proceeds shall also include (a) net proceeds received by the Company as a result of a condemnation by any governmental agency of all or any portion of the Property, (b) the proceeds from any insurance policy (excepting life, disability or similar insurance policies) payable to the Company (except any business continuation or similar policy), to the extent any such proceeds are not used to replace or repair the Property or to pay any claim against the Company to which such proceeds relate, or (c) proceeds from any sale of any property of the Company not in the ordinary course of business of the Company, to the extent such proceeds are not used to purchase replacement property.

1.34. **PERCENTAGE INTEREST.** "Percentage Interest" means the proportionate interest of each of the Members in the capital, Profits, Losses and Available Cash Flow of the Company; each Member's Percentage Interest at any given time shall be the percentage resulting when the total of that Member's original Capital Contribution plus Additional Capital Contributions actually paid by the Member to the Company (and without reduction for any distributions of Available Cash Flow to the Member) is divided by the aggregate Capital Contributions (including original Capital Contributions plus Additional Capital Contributions actually paid by the Members to the Company, and without reductions for any distributions of Available Cash Flow to Members) paid by all Members to the Company. Each Member's "Percentage Interest" shall be as set forth on ***Exhibit A***, as amended from time to time.

1.35. **PERSON.** "Person" means any individual, corporation, partnership, limited liability company, joint venture, association, joint stock company, trust (including any beneficiary thereof), unincorporated organization, or government or any agency or political subdivision thereof.

1.36. **PROFITS AND LOSSES.** "Profits" and "Losses" means, for each Fiscal Year, an amount equal to the Company's taxable income or loss for such Fiscal Year, determined in accordance with Code Section 703(a) (for this purposes, all items of income, gain, loss, or deduction required to be stated separately pursuant to Code Section 703(a)(1) shall be included in taxable income or loss), with the following adjustments:

1.36.1. Any income of the Company that is exempt from federal income tax and not otherwise taken into account in computing Profits or Losses pursuant to Section 1.30.1 shall be added to such taxable income or loss;

1.36.2. Any expenditures of the Company described in Code Section 705(a)(2)(8) or treated as Code Section 705(a)(2)(8) expenditures pursuant to Treasury Regulations Section 1.704-1 (b)(2)(iv)(I), and not otherwise taken into account in computing Profits or Losses pursuant to this Section 1.25 shall be subtracted from such taxable income or loss;

1.36.3. In the event the Gross Asset Value of any Company Asset is adjusted pursuant to Section 1.16.2 or Section 1.16.3 above, the amount of such adjustment shall be taken into account as gain or loss from the disposition of such asset for purposes of computing Profits or Losses. Gain or loss resulting from any disposition of Property with respect to which gain or loss is recognized for federal income tax purposes shall be computed by reference to the Gross Asset Value of the Property disposed of, notwithstanding that the adjusted tax basis of such Property differs from its Gross Asset Value;

1.36.4. In lieu of the depreciation, amortization, and other cost recovery deductions taken into account in computing such taxable income or loss, there shall be taken into account depreciation for such Fiscal Year, computed in accordance with Section 1.13 above;

1.36.5. To the extent an adjustment to the adjusted tax basis of any Company Asset pursuant to Code Section 734(b) or Code Section 743(b) is required pursuant to Treasury Regulations Section 1.7041(b)(2)(iv)(m)(4) to be taken into account in determining Capital Accounts as a result of a distribution other than in liquidation of a Member's interest in the Company, the amount of such adjustment shall be treated as an item of gain (if the adjustment increases the basis of the asset) or loss (if the adjustment decreases the basis of the asset) from the disposition of the asset and shall be taken into account for purposes of computing Profits or Losses; and

1.36.6. Notwithstanding any other provision of this Section 1.30, any items which are specially allocated pursuant to Sections 2.2 and 2.3 below shall not be taken into account in computing Profits or Losses. The amounts of the items of Company income, gain, loss or deduction available to be specifically allocated pursuant to Sections 2.2 and 2.3 below shall be determined by applying rules analogous to those set forth in Sections 1.30.1 through this Section 1.30.6.

1.37. **PROPERTY.** "Property" means all assets of the Company, both tangible and intangible, or any portion thereof, including, without limitation, the MHP.

1.38. **REGULATIONS.** "Regulations" means the federal income tax regulations promulgated by the Treasury Department under the Code, as such regulations may be amended from time to time. All references herein to a specific section of the Regulations shall be deemed also to refer to any corresponding provisions of succeeding Regulations.

1.39. **RESERVES.** "Reserves" means funds set aside from Capital Contributions or gross cash revenues as reserves. Such Reserves shall be maintained in amounts reasonably deemed sufficient by the Manager for working capital and the payment of taxes, insurance, debt service, repairs, replacements, renewals, or other costs or expenses incident to the business of the Company, or in the alternative the dissolution of the Company.

2. MAINTENANCE OF CAPITAL ACCOUNTS.

2.1. **GENERAL RULES FOR ADJUSTMENT OF CAPITAL ACCOUNTS.** Capital Accounts of Members shall be maintained and adjusted as follows:

2.1.1. (a) To each Member's Capital Account there shall be credited such Member's Capital Contributions, such Member's distributive share of Profits and any items in the nature of income or gain which are specifically allocated pursuant to Section 2.2 or Section 2.3 hereof, and the amount of any Company liabilities assumed by such Member or which are secured by any Property distributed to such Member.

(b) To each Member's Capital Account there shall be debited the amount of cash and the Gross Asset Value of any Property distributed to such Member pursuant to any provision of this Agreement, such Member's distributive share of Losses and any items in the nature of expenses or losses which are specially allocated pursuant to Section 2.2 or Section 2.3 hereof, and the amount of any liabilities of such Member assumed by the Company or which are secured by any property contributed by such Member to the Company.

(c) In the event any interest in the Company is transferred in accordance with the terms of this Agreement, the transferee shall succeed to the Capital Account of the transferor to the extent it relates to the transferred interest.

(d) In determining the amount of any liability for purposes of Sections 2.1 (a) and 2.1(b) above, there shall be taken into account Code Section 752(c) and any other applicable provisions of the Code and Regulations.

The foregoing provisions and the other provisions of the Agreement relating to the maintenance of Capital Accounts are intended to comply with Regulations Section 1.704-1 (b), and shall be interpreted and applied in a manner consistent with such Regulations. In the event the Manager shall determine that it is prudent to modify the manner in which the Capital Accounts, or any debits or credits thereto (including, without limitation, debits or credits relating to liabilities which are secured by contributed or distributed property or which are assumed by the Company or the Members), are computed in order to comply with such Regulations, the Manager may make such modification, provided that it is not likely to have a material effect on the amounts distributable to any Member pursuant to Section 8 of the Agreement upon the dissolution of the Company. The Manager also shall (i) make any adjustments that are necessary or appropriate to maintain equality between the Capital Accounts of the Members and the amount of Company capital reflected on the Company's balance sheet, as computed for book purposes in accordance with Regulations Section 1.704- 1(b)(2)(iv)(g), and (ii) make any appropriate modifications in the event unanticipated events might otherwise cause this Agreement not to comply with Regulations Section 1.704-1 (b).

2.2. **ALLOCATIONS.** Except as otherwise provided in this ***Schedule A***, Profits and Losses of the Company in each Fiscal Year shall be allocated among the Members as follows:

2.2.1. Profits. After giving effect to the special allocations of Profits set forth in this ***Schedule A***, Profits shall be allocated to the Members in proportion to their respective Percentage Interests.

2.2.2. Losses. After giving effect to the special allocations of Losses set forth in this ***Schedule A***, Losses shall be allocated to the Members in proportion to their respective Percentage Interests.

2.3. **RESIDUAL ALLOCATIONS.** Except as otherwise provided in this Agreement, all items of Company income, gain, loss, deduction and any other allocations not otherwise provided for shall be divided among the Members in the same proportions as they share Profits or Losses, as the case may be, for the Fiscal Year.

2.4. **OTHER ALLOCATION RULES.**

2.4.1. Reporting. The Members are aware of the income tax consequences of the allocations made by this ***Schedule A***, and hereby agree to be bound by the provisions of this ***Schedule A*** in reporting their shares of Company income and loss for income tax purposes.

2.4.2. Allocations by Percentage Interests. Subject to the express provisions of this ***Schedule A***, all allocations to the Members shall, except as otherwise provided, be divided among them in proportion to their Percentage Interests.

2.4.3. Period of Determination. For purposes of determining the Profits, Losses or any other items allocable to any period, Profits, Losses and any such other items shall be determined on a

daily, monthly or other basis, as determined by the Managing Member using any permissible method under Code Section 706 and the Regulations thereunder.

2.5. **TIME OF ADJUSTMENT FOR CAPITAL CONTRIBUTIONS.** For purposes of computing the balance in a Member's Capital Account, no credit shall be given for any Capital Contribution which such Member is to make until such contribution is actually received by the Company.

2.6. **TRANSFEREE'S CAPITAL ACCOUNT.** In the event a Member or the holder of an Economic Interest Transfers an Interest or Economic Interest in accordance with the terms of this Agreement, the transferee shall succeed to the Capital Account of the transferor to the extent it relates to the transferred Interest or Economic Interest. In such event, the Available Cash Flow attributable to such Economic Interest on or after the date of such Transfer shall be distributed to the assignee, and thereafter the assignee shall succeed to the Capital Account of the transferor Member. Profits and Losses allocable to such Economic Interest shall be allocated in proportion to the amount of time during the Fiscal Year that such Economic Interest was owned by the transferor and then the assignee. Any adjustments with respect to the Available Cash Flow distributions made to the transferor and assignee necessitated as a result of the allocation of Profits and Losses between the transferor and assignee shall be agreed upon and be made by such parties, and shall be a matter with which the Manager and the Company need not be concerned. Nothing contained in this Section 2.6 shall require the Manager to make an accounting other than at the end of each Fiscal Year of the Company.

2.7. **OBLIGATIONS OF MEMBERS TO REPORT ALLOCATIONS.** The Members are aware of the income tax consequences of the allocations made by this Agreement and hereby agree to be bound by the provisions of this ***Schedule A*** in reporting their shares of the Company income and loss for income tax purposes.

2.8. **CREDITS.** Investment tax credits and other tax credits, if any, shall be allocated among the Members pro rata in accordance with their Percentage Interests.

2.9. **SPECIAL ALLOCATIONS.** The following special allocations shall be made in the following order:

2.9.1. Minimum Gain Chargeback. Except as otherwise provided in Section 1.704-2(f) of the Regulations, notwithstanding any other provision of this ***Schedule A***, if there is a net decrease in Minimum Gain during any Fiscal Year, each Member shall be specially allocated items of Company income and gain for such Fiscal Year (and, if necessary, subsequent Fiscal Years) in an amount equal to such Member's share of the net decrease in Minimum Gain, determined in accordance with Regulation Section 1.704-2(g). Allocations pursuant to the previous sentence shall be made in proportion to the respective amounts required to be allocated to each Member pursuant thereto. The items to be so allocated shall be determined in accordance with Regulation Sections 1.704-2(f)(6) and 1.704-2(b)(2). This Section 2.9.1 is intended to comply with the minimum gain chargeback requirement in Regulation Section 1.704-2(f) and shall be interpreted consistently therewith.

2.9.2. Member Minimum Gain Chargeback. Except as otherwise provided in Regulation Sections 1.704-2(1)(4) and 1.704-(J)(2). notwithstanding any other provision of this ***Schedule A***, if there is a net decrease in Member Nonrecourse Debt Minimum Gain attributable to a Member Nonrecourse Debt during any Fiscal Year, each Member who has a share of the Member Nonrecourse Debt minimum Gain attributable to such Member Nonrecourse Debt, determined in accordance with Regulation Section 1.704,-2(1)(5), shall be specially allocated items of Company income and gain for such Fiscal Year (and, if necessary subsequent Fiscal Years) in an amount equal to such Member's share of the net decrease in Member Nonrecourse Debt Minimum Gain attributable to such Member Nonrecourse Debt, determined in accordance with Regulation Section 1.704-2(1)(4). Allocations pursuant

to the previous sentence shall be made in proportion to the respective amounts required to be allocated to each Member pursuant thereto. The items to be so allocated shall be determined in accordance with Regulation Sections 1.704-2(1)(4) and 1.704-20)(2). This Section 2.9.2 is intended to comply with the minimum gain chargeback requirement in Regulation Section 1.704-2(1)(4) and shall be interpreted consistently therewith.

2.9.3. Qualified Income Offset. In the event any Member unexpectedly receives any adjustments, allocations, or distributions described in Sections 1-704-1 (b)(2)(ii)(d)(4), (5) or (6) of the Regulations, or any other event creates a deficit balance in such Member's Capital Account in excess of such Member's share of Minimum Gain, items of Company income and gain shall be specially allocated to each such Member in an amount and manner sufficient to eliminate, to the extent required by the Regulations, the Adjusted Capital Account Deficit of such Member as quickly as possible, provided that an allocation pursuant to this Section 2.9.3 shall be made only if and to the extent that such Member would have an Adjusted Capital Account Deficit after all other allocations provided for in this Section 2 of this ***Schedule A*** have been tentatively made as if this Section 2.9.3 were not in the Agreement.

2.9.4. Gross Income Allocation. In the event any Member has a deficit Capital Account at the end of any Fiscal Year which is in excess of the sum of (I) the amount such Member is obligated to restore pursuant to any provision of this Agreement, and (ii) the amount such Member is deemed to be obligated to restore pursuant to the penultimate sentences of Regulation Sections 1.704-2(g)(1) and 1.704-2(1)(5), each such Member shall be specially allocated items of Company income and gain in the amount of such excess as quickly as possible, provided that an allocation pursuant to this Section 2.9.4 shall be made only if and to the extent that such Member would have a deficit Capital Account in excess of such sum after all other allocations provided for in this Section 2 of this ***Schedule A*** have been made as if Section 2.9.3 hereof and this Section 2.9.4 were not in this ***Schedule A*** or the Agreement.

2.9.5. Nonrecourse Deductions. Nonrecourse Deductions for any Fiscal Year shall be specially allocated among the Members in proportion to their Percentage Interests.

2.9.6. Member Nonrecourse Deductions. Any Member Nonrecourse Deductions for any Fiscal Year shall be specially allocated to the Member who bears the economic risk of loss with respect to the Member Nonrecourse Debt to which such Member Nonrecourse Deductions are attributable in accordance with Regulation Section 1.704-2(1)(1).

2.9.7. Code Section 754 Adjustment. To the extent an adjustment to the adjusted tax basis of any Company Asset pursuant to Code Section 734(b) or Code Section 743(b) is required, pursuant to Regulation Sections 1.704-1 (b)(2)(iv)(m)(2) or 1.704-1 (b)(2)(iv)(m)(4), to be taken into account in determining Capital Accounts as the result of a distribution to a Member in complete liquidation of its interest in the Company, the amount of such adjustment to the Capital Accounts shall be treated as an item of gain (if the adjustment increases the basis of the asset) or loss (if the adjustment decreases such basis) and such gain or loss shall be specially allocated to the Members in accordance with their interests in the Company in the event Regulation Section 1.704-1 (b)(2)(iv)(m)(2) applies, or to the Members to whom such distribution was made in the event Regulation Section 1.704-1 (b)(2)(iv)(m)(4) applies.

2.9.8. Priority Allocation. All or a portion of the remaining items of Company income or gain for the Fiscal Year, if any, shall be specially allocated to the Members in proportion to and to the extent of the excess, if any, of (i) the cumulative distributions each Member has received pursuant to the Agreement from the commencement of the Company to a date thirty (30) days after the end of such Fiscal Year, over (ii) the cumulative items of income and gain allocated to such Member pursuant to this Section 2.9.8 for all prior Fiscal Years.

2.9.9. Allocations Relating to Taxable Issuance of Interests. Any income, gain, loss or deduction realized as a direct or indirect result of the issuance of an interest on the Company to a Member (the "Issuance Items") shall be allocated among the Members so that, to the extent possible, the net amount of such Issuance Items, together with all other allocations under this Agreement to each Member, shall be equal to the net amount that would have been allocated to each such Member if the Issuance Items had not been realized.

2.9.10. Deemed Interests for Determining a Member's Share of Excess Nonrecourse Liabilities. Solely for purposes of determining a Member's proportionate share of the "excess nonrecourse liabilities" of the Company, within the meaning of Regulation Section 1.752-3(a)(3), the Members' interests in Profits are in proportion to their Percentage Interests.

2.9.11. Distributions Not from Nonrecourse Liabilities or Member Nonrecourse Debt. To the extent permitted by Section 1.704-2(h)(3) of the Regulations, the Manager shall endeavor not to treat distributions of Available Cash Flow as having been made from the proceeds of a Nonrecourse Liability or a Member Nonrecourse Debt.

2.10. **CURATIVE ALLOCATIONS.** The allocations set forth in Sections 2.2 and 2.9.1 through 2.9.7 above (the "Regulatory Allocations") are intended to comply with certain requirements of the Regulations. It is the intent of the Members that, to the extent possible, all Regulatory Allocations shall be offset either with other Regulatory Allocations or with special allocations of other items of Company income, gain, loss, or deduction pursuant to this Section 2.10. Therefore, notwithstanding any other provision of this ***Schedule A*** (other than the aforementioned Regulatory Allocations), the Manager shall make such offsetting special allocations of Company income, gain, loss or deduction in whatever manner they determine appropriate so that, after such offsetting allocations are made, each Member's Capital Account balance is, to the extent possible, equal to the Capital Account balance such Member would have had if the Regulatory Allocations were not part of the Agreement and all Company items were allocated pursuant to Section 2.2 of this ***Schedule A***. In exercising their discretion under this Section 2.10, the Manager shall take into account future Regulatory Allocations under Sections 2.9.1 and 2.9.2 that, although not yet made, are likely to offset other Regulatory Allocations previously made under Sections 2.9.5 and 2.9.6.

3. TAX ALLOCATIONS: CODE SECTION 704(c).

In accordance with Code Section 704 and the Regulations thereunder, income, gain, loss, and deduction with respect to any property contributed to the capital of the Company shall, solely for tax purposes, be allocated among the Members so as to take account of any variation between the adjusted basis of such property to the Company for federal income tax purposes and its initial Gross Asset Value (computed in accordance with Section 1.16.1 hereof).

3.1. **ADJUSTMENT TO GROSS ASSET VALUE.** In the event the Gross Asset Value of any Company Asset is adjusted pursuant to Section 1.16.2 hereof, subsequent allocations of income, gain, loss, and deduction with respect to such asset shall take account of any variation between the adjusted basis of such asset for federal income tax purposes and its Gross Asset Value in the same manner as under Code Section 704(c) and the Regulations thereunder.

3.2. **MANAGER'S ELECTIONS.** Any elections or other decisions relating to such allocations shall be made by the Manager in any manner that reasonably reflects the purpose and intention of this Agreement. Allocations pursuant to this Section 3 are solely for purposes of federal, state, and local taxes and shall not affect, or in any way be taken into account in computing, any Person's Capital Account or share of Profits, Losses, other item, or distributions pursuant to any provisions of this Agreement.

3.3. **TAX MATTERS HANDLED BY MANAGER.** BEDROCK MHC, LLC shall serve as "Tax Matters Partner" (as defined in Code Section 6231) so long as such Person continues to be a Member of the Company. Should that person no longer be serving as a Member, then another Member shall be designated as Tax Matters Partner. The Tax Matters Partner shall represent the Company (at the Company's expense) in connection with all examinations of the Company's affairs by tax authorities, including resulting judicial and administrative proceedings, and to expend Company funds for professional services and costs associated therewith. In its capacity as "Tax Matters Partner," the designated Person shall oversee the Company tax affairs in the overall best interests of the Company.

3.4. **FEDERAL INCOME TAX ELECTIONS MADE BY MANAGER.** The Manager on behalf of the Company may make all elections for federal income tax purposes, including but not limited to the following:

3.4.1. Use of Accelerated Depreciation Methods. To the extent permitted by applicable law and regulations, the Company may elect to use an accelerated depreciation method on any depreciable unit of the assets of the Company.

3.4.2. Adjustment of Basis of Assets. In case of a transfer of all or part of the Interest of any Member, the Manager may elect, pursuant to Sections 734, 743 and 754 of the Code, to adjust the basis of the assets of the Company.

3.4.3. Accounting Method. For financial reporting purposes, the books and records of the Company shall be kept on the accrual method of accounting applied in a consistent manner and shall reflect all transactions of the Company and be appropriate and adequate for the purposes of the Company.

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